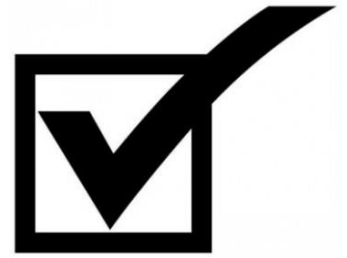


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



Managerial Accounting

(135)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (9 @ 3 points each) _____ (27 points)

Problem 1: Budgeting Problems (46 @ 2 points each) _____ (92 points)

TOTAL POINTS _____ ***(149 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice (2 points each/ 40 total points)

1.	C	8.	C
2.	B	9.	C
3.	C	10.	B
4.	A	11.	A
5.	B	12.	B
6.	B	13.	B
7.	B	14.	A
8.	C	15.	A

Short Answer (3 points each; 27 points total)

1.

Using the high-low method, what is the best estimate of the total contribution margin when 15,210 units are sold?	\$1,079,910
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2.

How many jackets does Diaz need to sell to break-even?	706
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3.

Will Alvarez's changes for next year increase or decrease profits?	Increase
What will be the amount of the increase/decrease?	\$156,000

4.

	Variable Costing	Absorption Costing
What is Granger's total gross profit under variable and absorption costing?	\$138,000	\$184,000

5.

Would operating income increase or decrease?	Increase
How much would operating income increase or decrease?	\$5,900

6.

What were Wright's sales if Wright had a loss of \$44,000?	\$720,000
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Problem 1: Master Budget (46 @ 2 points each; 92 points total)

	April	May	Jun
Cash Receipts			
Cash Sales	120,000	180,000	100,000
February Receipts	32,000		
March Receipts	168,000	48,000	
April Receipts	48,000	336,000	96,000
May Receipts		72,000	504,000
June Receipts			40,000
Total Receipts	368,000	636,000	740,000
	April	May	Jun
Purchases			
Cost of Goods Sold	420,000	630,000	350,000
Ending Inventory	126,000	70,000	56,000
	546,000	700,000	406,000
Beginning Inventory	84,000	126,000	70,000
Total Purchases	462,000	574,000	336,000
	April	May	Jun
Cash Disbursements			
Purchases	231,000	287,000	168,000
Prior month purchases	126,000	231,000	287,000
Selling Expense	79,000	120,000	62,000
Admin. Expense	25,000	32,000	21,000
Dividends	49,000		
Total Disbursements	510,000	670,000	538,000